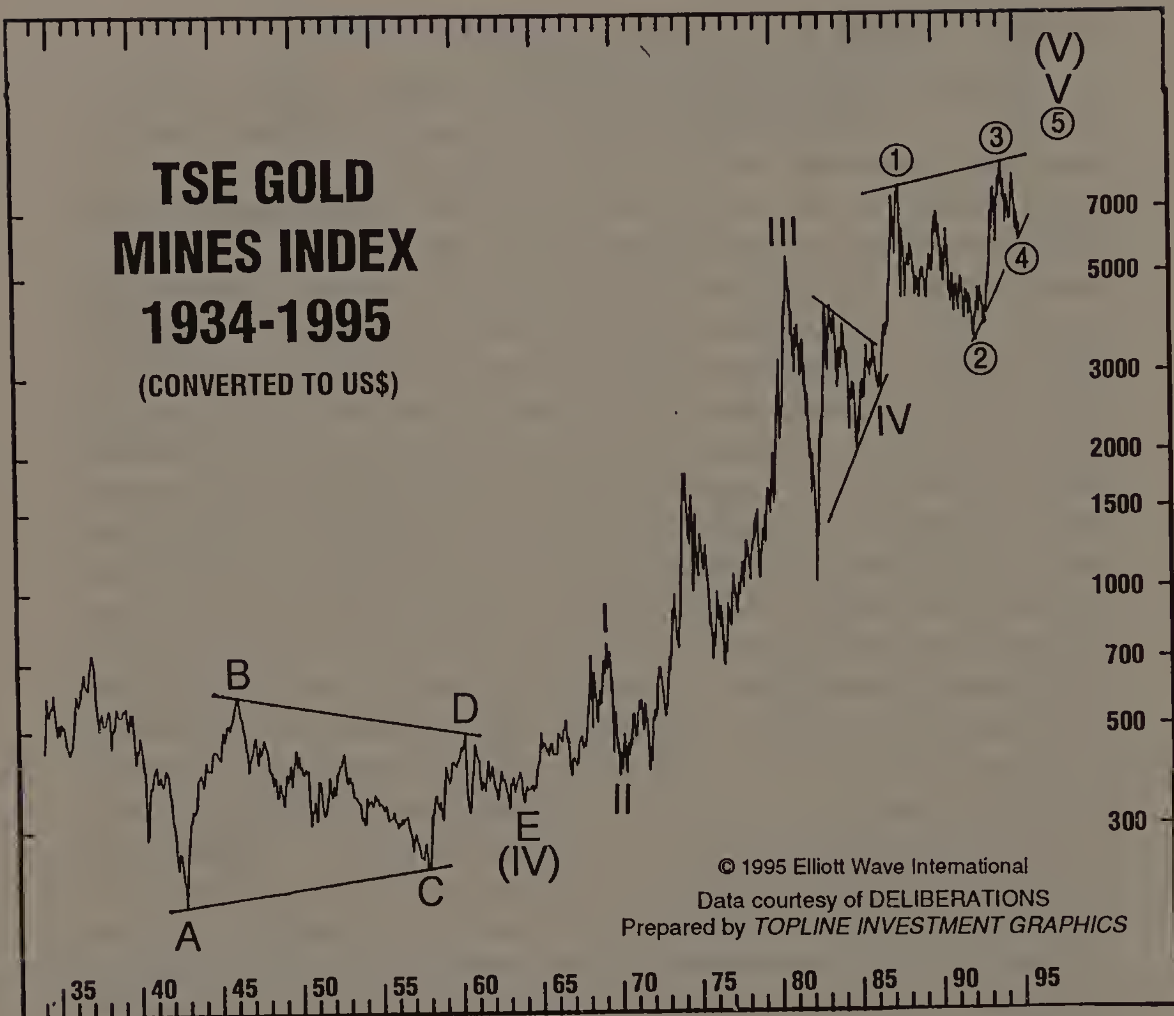

Figure 17-14

Notice how perfectly this pattern and outlook fit those for gold. Both charts show a low in 1982 followed by a recovery. While gold has gone sideways in a triangle, gold stocks have achieved new highs on each upward thrust. The current outlook for gold calls for one last rally to the $450-$500 area, then a deep decline of over 75%. The current outlook for the TSE Gold Mines Index calls for one last rally to a new all-time high, then the biggest collapse in its history. If gold's triangle ends in 1995, it will have been a Fibonacci **13** years long. If the stock index were to peak in 1997, its wave (V) will have been a Fibonacci **34** years long. The ideal scenario, then, is for a peak in gold in 1995 followed by a peak in mining stocks in 1997 ± 1 year (1996 is more likely since the DJIA should top in 1995; see further discussion in the next section).